

Real Estate Numbers Cheat Sheet

From Vacation Rentals That Pay You. Every term and formula the money math runs on, one page. When you're starting out, only one number matters, and that number is cash-on-cash return. Everything below either feeds that number or protects it.

The terms, in plain English

Term	What it means
ADR	Average daily rate: your revenue divided by nights booked.
Occupancy	Simply the share of nights that actually get booked.
Gross vs. net	Every revenue number in this book is gross — bookings before expenses. Net is your real profit, meaning what's left after every bill gets paid. Booked is not banked. On a real statement, roughly 52 cents of every payout dollar went to running the house.
PITI	Principal, interest, taxes, insurance — the all-in monthly mortgage payment. The payment is what protects you in slow months.
Cash-on-cash (CoC)	The percentage of your actual invested cash that comes back to you every year in profit. Not equity. Not paper gains. Not projected appreciation. Real cash hitting your account.
DSCR	Debt-Service Coverage Ratio: the ratio of a property's rental income to its monthly loan payment. Lenders want the rent to cover the mortgage, meaning a DSCR of 1.0+ (1.2 or better for a cash-out refi). A DSCR loan is qualified on the property's income, not your W2.
LTV	Loan-to-value: a 75-80% LTV loan can run up to 75-80% of what the home appraises for. On STR income, most cash-out quotes land at 70-75%; some lenders stretch to 80, but don't build the plan on it.
Cap rate	Deliberately skipped. Most people get overwhelmed by real estate math (cap rates, IRR, 1031 exchanges, amortization schedules); when you're starting out, cash-on-cash is the litmus test. The one income multiple the book does use: a

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	turnkey STR sells to the right buyer at 8-12x annual net cash flow — and that buyer is the exception, not the norm.
Comps	Comparable properties, meaning what similar homes nearby really earn. (For a sale, residential comps are what similar homes nearby actually sold for.) Underwrite on trailing-twelve-month comps only.
Underwriting	Investor-speak for running all the numbers on a deal before you buy.
Buy box	The spec you shop to before you tour anything. The book's: a 4 bed, 3 bath with 2,000-plus square feet and good bones, mostly \$250K-\$350K. Minimum 3 bed, 2 bath, 1,500 square feet — never go smaller.
Seller credit	Cash the seller agrees to put toward your costs at closing. Never just ask for a lower price; sellers care about their net, not the headline.
Points	A closing point is an upfront fee of 1% of the loan. On DSCR money, 2-3 points at closing aren't unusual.
Earnest money	The good-faith deposit that rides with your offer and counts toward the purchase. With a motivated seller, 1% instead of 3% signals you're serious without tying up cash.
Second deed of trust	A recorded claim on the house, behind the bank's, so if everything fails your lender is in line to be paid from the sale. It's how you secure a private lender.
Seasoning	Lender-speak for having months of real income history on the books. For a cash-out refi, most lenders want a full year of ownership and income before they'll count it.
Turnover	Every time a guest leaves: you clean, sanitize, restock linens, and refresh the property. Every turnover costs roughly the same whether the guest stayed two nights or five — \$100-\$150 a turn for a smaller home (1-3BR), \$150-\$400 for larger homes.
Orphan nights	The stranded 1-2 night gaps longer bookings leave between them. Drop the price slightly and let them fill. Those nights have no other buyer.

Term	What it means
Cost segregation	A study that front-loads years of write-offs on renovation and furnishings into the early years — accelerated depreciation instead of the slow schedule.
Material participation	The tax status for owners who actually run the property rather than hire everything out. Put in real hours running it yourself and you may qualify for bonus depreciation; the more you hand off, the harder it is to pass. Ask your CPA which side of the line your setup lands on.

The formulas

Cash-on-cash return — the only math that matters

$$\text{Annual Net Income} \div \text{Initial Cash Invested} = \text{Cash-on-Cash Return}$$

Initial cash invested = down payment + closing costs (net of seller credits) + furnishing, design, and setup. Count 0% card balances as cash invested — you're still on the hook for it, and your ROI should reflect the full picture. Example: \$60,000 in (\$25K down + \$5K closing + \$30K furniture), \$20,000/year net out = 33%.

The 30% Floor — one rule, three checks (fail any one, walk)

1. Judge the Floor at the **moderate projection, the median of the comps**: 30%+ → great deal; under 30% → walk, unless it's genuinely unique (off-market, underpriced, or extremely value-add).
2. Underwrite at the **conservative 25th percentile**: the deal must still cash flow there, ideally near 25% on your cash.
3. The house has to **survive as a plain long-term rental** if Airbnb vanished tomorrow.

A 15–30% realized return on a deal that screened at 30%+ isn't failure — that's conservative territory doing its job.

The stress test

Cut revenue **25–30%** off the top line. Still cash flows? Real deal. If the haircut kills the cash flow, that's not a deal. That's a hope.

Cut revenue, not just occupancy: in a real downturn hosts cut nightly rates to defend their calendars, so you lose bookings and price at once. The haircut off the median lands you right around the 25th percentile, so the stress test and the conservative underwrite should roughly agree.

The quick deal calculator (the 0.6 rule)

$$(\text{Annual Revenue} \times 0.6) - \text{Annual Mortgage} = \text{Annual Cash Flow}$$

The 0.6 assumes 40% of revenue goes to cleaning, cohosting, utilities, maintenance, supplies, insurance, and taxes. Insurance sits inside that 40%, but get the bindable quote anyway; a high premium eats the cushion. Example: \$70K revenue – \$28K expenses – \$21,600 mortgage = roughly \$20,400 a year. Clear at least \$1,500 a month net, move forward.

The leverage ratio

Dollars of real estate controlled ÷ dollars of your own cash deployed

All-cash on a \$250K home = 1:1. Ten percent down = 10:1. Add \$25K of 0% card float and you could call it 11:1 — but the convention is to count only the real estate.

Revenue per turn — the real pricing metric

What one booking nets you after the fixed cost of turning the home over between guests.

The same \$150 cleaning cost eats 37.5% of a 2-night booking and 21% of a 4-night one. Enforce it with minimum stays: 3-night weekends, 2-night weekdays, 1-night only for last-minute gaps, and discounted orphan nights to fill the rest.

The card cap rule

Never float more on 0% cards than six months of conservative-case cash flow can retire.

And time big card balances apart from your next mortgage application — maxed cards drag your credit score down right when you apply for a refinance.

The payback plan for the card float

1. **The property's own cash flow is the engine.** Send the cards every spare dollar first, so the balances die before the 0% windows do. A home grossing \$70K a year should be sending real money at those balances every month, starting within weeks of launch.
2. **The rollover.** If a promo window closes before the balance dies, roll it to a fresh 0% card for a one-time 3–5% transfer fee and buy another 12 to 18 interest-free months — though issuers don't always approve someone already carrying big balances.
3. **Worst case, the carry.** Get stuck holding \$20K at 23% and the interest runs about \$383 a month. Painful, yes. But you never floated more than six months of conservative-case cash flow, and the house already proved it survives as a plain long-term rental — a house that clears that bar can carry a \$383 drag while you fix the listing or fill it with a tenant.

Where the cash flow goes when it comes: **cards first, pocket second, next deal third.** That's the Stack Strategy, and it's how the same dollars buy deal two.

The wealth formula (the 5-year plan)

Wealth = Annual Net Cash Flow + Annual Appreciation + Annual Tax Savings

Net means net: the cash flow term already has every expense and every mortgage payment taken out. There's a fourth number, your carrying cost, but it's already subtracted inside the

first — track it anyway; the payment is what protects you or breaks you. Pencil rural appreciation at 2.5%. And a deduction is not a dollar: count deductions at their cash value in your bracket (at 32%, that's 32 cents per dollar of face value).

The underwriting bar, memorized: occupancy of 60-70% at least, and whatever nightly rate it takes to pencil at least \$70K a year. If a deal only works at 80%+ occupancy, skip it — you're buying stress. Don't chase the highest percentage return. Chase the fastest capital recovery.